

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DPS

Date: 5/16/2026

Bill Number: HB 133

Short Title (as it appears on BASIS): PAYMENT OF CONTRACTS

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

The Department of Public Safety recommends veto. While DPS does not anticipate an immediate fiscal impact under current operating conditions, HB 133 imposes rigid statutory payment timelines, notice requirements, and interest penalties that reduce operational flexibility across state agencies.

The department's ability to process payments timely depends not solely on financial processing, but on the timely completion of documentation review, compliance verification, and performance validation before a payment request is ready for submission. While DPS can absorb these requirements within current resources, staffing shortages, workload fluctuations, or increased administrative complexity could create compliance risk and potential financial exposure in the future.

Additionally, the bill imposes a one-time legislative reporting without addressing the underlying causes of payment delays, which often occur during compliance review rather than payment issuance itself.

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What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 133 establishes statutory payment deadlines and interest requirements for state agencies related to contracts under the State Procurement Code and for grants and reimbursement agreements with nonprofit organizations, municipalities, and Alaska Native organizations. Beginning July 1, 2027, agencies must generally issue payment within 45 calendar days after receiving a compliant payment request for satisfactory performance, with interest penalties applying to late payments. Beginning July 1, 2028, the bill reduces those payment deadlines from 45 calendar days to 30 calendar days. The bill also requires agencies to provide written notice within eight working days when payment is withheld due to noncompliance or performance deficiencies, establishes timelines for payment following corrective action, requires reporting on late payments, and expands public transparency regarding overdue obligations.

While the bill is intended to encourage timely payment, it creates statutory administrative requirements and financial penalties that may not account for the operational realities of compliance review, documentation validation, staffing availability, and workload fluctuations across agencies.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 – Adds new section AS 36.30.970 *Payment deadline and interest*

Establishes statutory payment deadlines for contracts under the State Procurement Code.

Beginning July 1, 2027, agencies must pay contractors within 45 calendar days after receiving a compliant payment request for satisfactory performance.

Requires agencies to pay interest on overdue payments at the rate established under AS 45.45.010(a).

Requires agencies to provide written notice within eight working days when payment is withheld due to noncompliance or unsatisfactory performance and establishes timelines for payment after corrective actions are completed.

Exempts retainage, certain public construction and public works contracts, and the Division of Homeland Security and Emergency Management within the Department of Military and Veterans' Affairs.

Section 2 – Amends AS 36.30.970(a)

Reduces the contractor payment deadline established in Section 1 from 45 calendar days to 30

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calendar days, effective July 1, 2028.

Section 3 – Amends AS 36.30.970(b)

Reduces the interest trigger for overdue contractor payments from the 46th calendar day to the 31st calendar day, effective July 1, 2028.

Section 4 – Amends AS 36.30.970(e)

Reduces the deadline for agencies to issue withheld payments after corrective actions are completed from 45 calendar days to 30 calendar days, effective July 1, 2028.

Section 5 – Adds new section AS 36.90.310 *Payment deadline and interest for grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native organizations*

Establishes statutory payment deadlines and interest requirements for grants and reimbursement agreements involving nonprofit organizations, municipalities, and Alaska Native organizations. Beginning July 1, 2027, agencies must generally issue payment within 45 calendar days after receiving a compliant payment request for satisfactory performance. For agreements funded with federal funds, payment deadlines are tied to the later of receipt of a compliant payment request or receipt of the federal funds by the agency. Requires written notice within eight working days when payment is withheld and establishes timelines for payment after corrective actions are completed. Exempts the Division of Homeland Security and Emergency Management within the Department of Military and Veterans' Affairs.

Section 6 – Amends added section, AS 36.90.310(a) *Payment deadline and interest for grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native organizations*

Reduces payment deadlines for grants and reimbursement agreements established in Section 5 from 45 calendar days to 30 calendar days, effective July 1, 2028.

Section 7 – Amends AS 36.90.310(b) *Payment deadline and interest for grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native organizations*

Reduces the interest trigger for overdue payments under grants and reimbursement agreements from the 46th calendar day to the 31st calendar day, effective July 1, 2028.

Section 8 – Amends AS 36.90.310(e) *Payment deadline and interest for grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native organizations*

Reduces the deadline for agencies to issue withheld payments after corrective actions are

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completed from 45 calendar days to 30 calendar days, effective July 1, 2028.

Section 9 – Amends [AS 37.05.215\(a\)](#) *State financial transactions Internet website*

Requires the Department of Administration’s public financial transactions website to identify payments under contracts, grants, and reimbursement agreements that were made 30 or more days after they were due. Also requires the website to identify obligations that remain 30 or more days past due.

Section 10 – Amends [AS 37.05.215\(b\)](#) *State financial transactions Internet website*

Requires the Department of Administration to update overdue payment information on the public financial transactions website on a monthly basis.

Section 11 – Uncodified law Report to the legislature

Requires state agencies to provide a report to the legislature by the first day of the First Regular Session of the Thirty-Fifth Alaska State Legislature detailing late payments made during 2026, including the number of late payments, reasons for delays, and duration of delays.

Section 12 – Immediate effective date

Provides an immediate effective date for Section 11 relating to agency reporting requirements.

Section 13 – Effective date

Provides an effective date of July 1, 2027, for Sections 1 and 5 establishing the initial 45-day payment deadlines.

Section 14 – Effective date

Provides an effective date of July 1, 2028, for Sections 2–4 and 6–8 reducing payment deadlines from 45 calendar days to 30 calendar days.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

N/A

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support

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or in opposition of this bill.

[HB 133 Testimony Rec'd by 4.9.2026.pdf](#)

Trevor Storrs, Alaska Children's Trust

Patrick FitzGerald, Political Coordinator, Teamsters 959

City of Toksook Bay

Alvin D. Osterback, Mayor, Aleutians East Borough

Nils Andreassen, Alaska Municipal League

Lisa D.H. Aquino, MHS, Chief Executive Officer, Anchorage Neighborhood Health Center

Marie McCarty, Executive Director, Kachemak Heritage Land Trust

Elizabeth Ripley, President and CEO, Mat-Su Health Foundation

Stephanie Berglund, CEO, thread

Eric Billingsley, President and CEO, United Way of Anchorage

The Foraker Group

Sander Schijvens, President and CEO, Wostmann & Associates

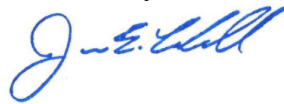
Bob Siversten, Chair, Alaska Commission on Aging

Public testimony reflected significant support from nonprofit and municipal stakeholders seeking more predictable payment timelines. DPS recognizes those concerns but notes that payment timing can be affected by compliance review, documentation completeness, and operational capacity, which vary across agencies.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Commissioner's Signature: _____



Date: May 18, 2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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